We already studied compensation. Why are we discussing salary again? There is a difference.

Earlier we discussed the compensation agreed between an employee and the organization.

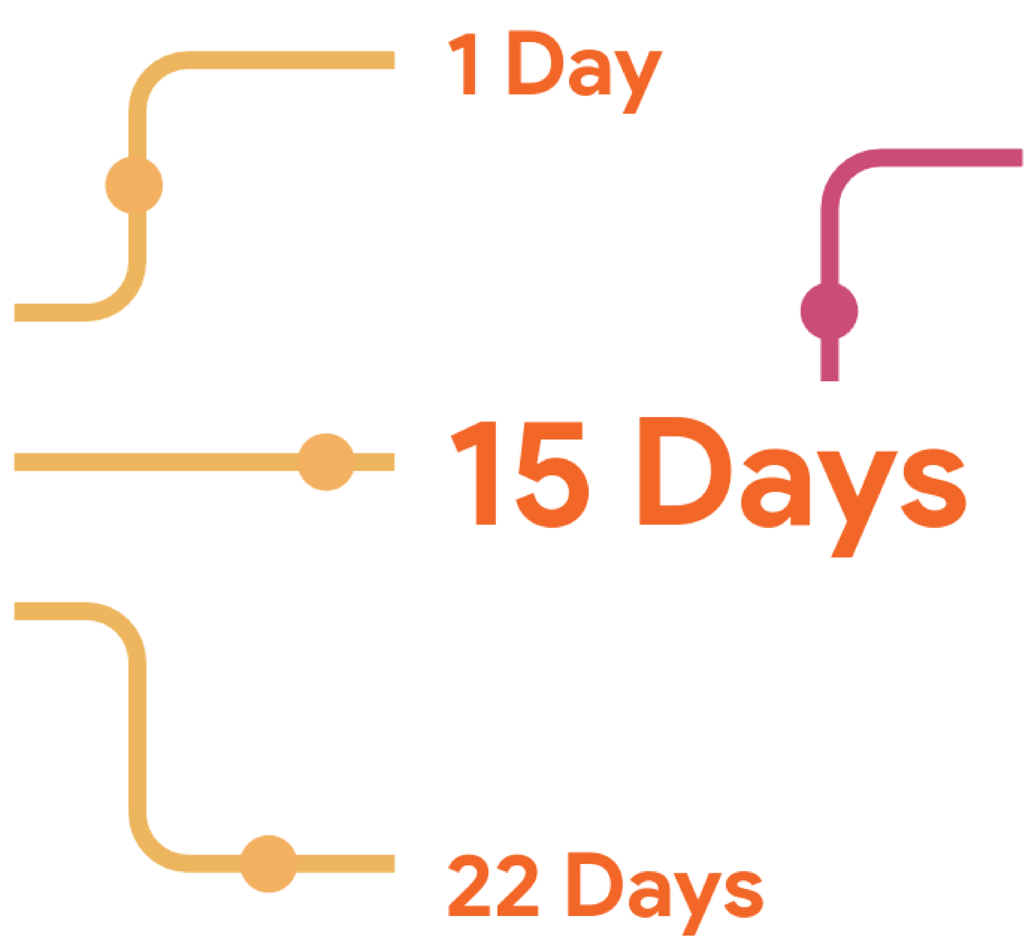
Here we will discuss the salary processing that is performed to make actual payment and made to an employee based on the agreement.

Salary Processing

Salary processing is a systematic process of calculating and disbursing salaries, bonuses and other benefits by an organization for a pay period. It involves

1. Prorating gross salary

First Gross Salary is calculated by subtracting benefits from Cost to Company. The gross salary is prorated based on attendance. Suppose an employee is earning INR 22,000 per month. There were 22 working days in the month. **The daily salary for the employee will be INR 1000 (INR 22,000 / 22).**



If the employee was present for only for 15 working days. Then the employee should receive a salary of INR 15,000 (INR 1000 per day x 15 days). This is proration.